

Group Risk Systems

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1

Application and Definitions

1.1

This Part applies to a [CRR firm](#) that is a member of a [group](#) save that [2.3](#) applies to an [Article 109 undertaking](#).

- 29/12/2020
- [Past version of 1.1 before 29/12/2020](#)

1.2

This Part does not apply to a [firm](#) in relation to the [regulated activity](#) of bidding in emissions auctions (article 24A of the [Regulated Activities Order](#)) where it is carried on by way of business by a [MiFID investment firm](#) (other than a UCITS investment firm, as defined in the [FCA Handbook](#)) in relation to a [financial instrument](#).

- 01/01/2016

1.3

In this Part, the following definitions shall apply:

[group](#)

means, in relation to a [person](#) ("A"), A and any [person](#):

1. (1) within the scope of section 421 of the Act;
2. (2) who has a [common management relationship](#) with A;
3. (3) who has a [common management relationship](#) with any [person](#) in (1);
4. (4) who is a [subsidiary undertaking](#) of a [person](#) in (2) or (3); or
5. (5) whose omission from an assessment of the risks to A of A's connection to any person coming within (1) to (4) or an assessment of the financial resources available to such [persons](#) would be misleading.

- 31/12/2020
- [Past version of 1.3 before 31/12/2020](#)

1.4

Unless otherwise defined in this Part, any italicised expression used in this Part and in the [CRR](#) has the same meaning as in the [CRR](#).

- 01/01/2016

2

Group Systems and Controls

2.1

A [firm](#) must:

1. (1) have adequate, sound and appropriate risk management processes and internal control mechanisms for the purpose of assessing and managing its own exposure to [group](#) risk, including sound administrative and accounting procedures; and
2. (2) ensure that its [group](#) has adequate, sound and appropriate risk management processes and internal control mechanisms at the level of the [group](#), including sound administrative and accounting procedures.

- 01/01/2016

2.2

The internal control mechanisms referred to in [2.1](#) must include:

1. (1) mechanisms that are adequate for the purpose of producing any data and information which would be relevant for the purpose of monitoring compliance with any prudential requirements (including any reporting requirements and any requirements relating to capital adequacy, solvency, systems and controls and large exposures):
 1. (a) to which the [firm](#) is subject with respect to its membership of a [group](#); or
 2. (b) that apply to or with respect to that [group](#) or part of it; and
3. (2) mechanisms that are adequate to monitor funding within the [group](#).

- 01/01/2016

2.3

An [Article 109 undertaking](#) must comply with [2.1](#)(2) in relation to any UK consolidation group or non-[UK](#) sub-group of which it is a member, as well as in relation to its [group](#).

[Note: Art 109(2) of the [CRD](#)]

- 31/12/2020
- [Past version of 2.3 before 31/12/2020](#)
- [Future version of 2.3 after 01/01/2027](#)

2.4

A [CRR firm](#) that is a [subsidiary](#) of a [mixed-activity holding company](#) must ensure that the risk management processes and internal control mechanisms referred to in [2.1](#) include sound reporting and accounting procedures and other mechanisms that are adequate to identify, measure, monitor and control transactions between the [firm's parent undertaking](#) [mixed-activity holding company](#) and any of the [subsidiary](#) of the [mixed-activity holding company](#).

[Note: Art 123 of the [CRD](#)]

- 01/01/2016